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Hongfa Technology - A

Raise forecasts on stronger-through-cycle pricing; stay OW

Following the [strong 2Q26 beat with record high revenue and profit](#) and the earlier 1Q26 beat, Hongfa has fully erased the concerns triggered by the 4Q25 miss, which with the benefit of hindsight looks mainly like a timing mismatch between the raw material cost shock and the lagged roll-through of price hikes rather than a demand or franchise issue. Pricing power is now confirmed by operating reality: repricing has progressed while orders stayed firm and utilization remained high, supporting a cleaner margin normalization path. The stock is up 14% YTD versus CSI300 flattish, signalling a clear sentiment reset, but valuation still looks undemanding versus the 25–30% profit growth profile projected for next year, implying not all positives are priced in. We raise our net profit estimates by 10%/15% for FY27E/FY28E, extend our PT end date to Dec-27, and revise our DCF-based PT to Rmb43, indicating c25% potential upside from current levels.

- Structural market landscape change increasingly favors Hongfa as the global relay leader.** Beyond end-demand recovery, we think Hongfa is benefiting from a more structural change in the relay competitive landscape, as raw material inflation and delivery pressure have forced smaller competitors to scale back production, while Hongfa's procurement advantage, capacity flexibility and product breadth allow it to take share. Management indicated average utilization towards the higher end of historical trends, backlog is at a historical high and can cover 3–6 months of production, with some orders already extending into 2027. Importantly, even after stripping out price contribution, constant-price revenue growth still exceeds 20%, suggesting the top-line acceleration was not only price-driven but also reflected stronger underlying demand and share gain. We believe this supports a more sustainable growth outlook, particularly in power relays, HVDC, new energy, auto low-voltage and industrial relays, where Hongfa has no obvious weak spot across the portfolio.
- AIDC is becoming more operational, but timelines remain fluid so near-term modelling stays conservative.** Management expanded the AIDC framing beyond relays into a broader product-basket opportunity (including HVDC-related solutions and components such as capacitors/connectors, and potentially more packaged equipment), and highlighted 2Q26 sampling progress across power supply, transformer, and internet platform customers. Traditional relay customers also delivered >100% Y/Y growth in 1H26, with management linking part of the uplift to AIDC and energy storage demand, which supports treating AIDC as a genuine demand vector rather than a marketing theme. Management also acknowledged downstream architecture choices and rollout timelines remain diverse, spanning late-2025 through 2027/2028, so AIDC remains better treated as medium-term option value than a fully modelable near-term revenue driver.

Overweight

600885.SS, 600885.CH

Price (12 Aug 26): Rmb34.65

▼ **Price Target (Dec-27): Rmb43.00**

Prior (Dec-26): Rmb45.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	19,136	22,509	17.6%
Revenue - 27E (Rmb mn)	20,948	26,028	24.3%
Adj. P/E - 26E	16.1	25.0	8.9x
Adj. P/E - 27E	14.7	19.9	5.2x
Adj. EPS - 26E (Rmb)	2.15	1.39	-35.6%
Adj. EPS - 27E (Rmb)	2.36	1.74	-26.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	78	77	72	79	87
Growth	25	57	13	38	48
Momentum	17	25	52	58	24
Quality	17	40	5	23	31
Low Vol	51	37	34	45	58

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	14.0%	-0.1%	7.3%	30.3%
Rel	14.6%	1.1%	13.7%	22.6%

Company Data

Shares O/S (mn)	1,548
52-week range (Rmb)	40.41-24.69
Market cap (\$ mn)	7,949
Exchange rate	6.75
Free float (%)	70.6%
3M ADV (mn)	20.74
3M ADV (\$ mn)	105.8
Volatility (90 Day)	49
Index	SSE
BBG ANR (Buy Hold Sell)	17 1 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	17,202	22,509	26,028	29,701
Adj. EBITDA	3,823	4,484	5,315	6,089
Adj. EBIT	2,773	3,403	4,114	4,776
Adj. net income	1,758	2,144	2,696	3,147
Adj. EPS	1.14	1.39	1.74	2.03
BBG EPS	1.35	1.42	1.77	2.12
Cashflow from operations	2,969	1,363	3,517	4,204
FCFF	1,848	(91)	2,106	2,579
Margins and Growth				
Revenue Growth Y/Y (%)	22.0%	30.8%	15.6%	14.1%
EBITDA margin	22.2%	19.9%	20.4%	20.5%
EBITDA Growth Y/Y (%)	9.4%	17.3%	18.5%	14.6%
EBIT margin	16.1%	15.1%	15.8%	16.1%
Net margin	10.2%	9.5%	10.4%	10.6%
Adj. EPS growth	2.3%	22.0%	25.8%	16.7%
Ratios				
Adj. tax rate	13.0%	13.0%	13.0%	13.0%
Interest cover	55.4	1,304.7	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	18.0%	20.7%	22.2%	23.0%
ROE	15.9%	16.0%	17.9%	18.4%
Valuation				
FCFF yield	3.4%	(0.2%)	3.9%	4.8%
Dividend yield	1.0%	1.2%	1.5%	1.8%
EV/Revenue	3.2	2.5	2.2	1.9
EV/EBITDA	14.4	12.7	10.7	9.2
Adj. P/E	30.5	25.0	19.9	17.0

Summary Investment Thesis and Valuation

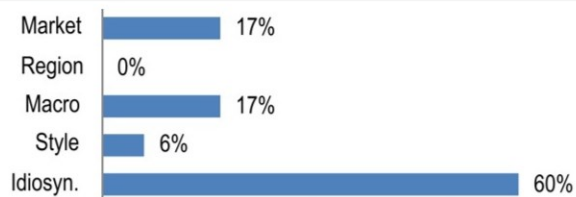
Investment Thesis

Hongfa is a leading global supplier of relays with applications across home appliances, automotive, power grids, and renewables. Hongfa's diversified end-demand and strong market positioning in niche segments enhance its resilience and growth potential, in addition to its consistent Op-CF and ROE generation achieved over the past decade. OW.

Valuation

Our Dec-27 PT of Rmb43 is based on our discounted cash flow (DCF) valuation. Our valuation assumes a WACC of 8.8% and a terminal growth rate of 0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.41
Region: China	-0.06	-0.05
Macro:		
JPM China A-shares Sentiment	0.42	0.35
Markit EM Composite PMI SA	0.34	0.29
US 10 Year Yield	0.18	0.20
Quant Styles:		
DivYld	-0.32	-0.25
Value	-0.31	-0.25
Growth	0.28	0.22

Investment Thesis, Valuation and Risks

Hongfa Technology - A *(Overweight; Price Target: Rmb43.00)*

Investment Thesis

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Risks to Rating and Price Target

Downside risks to our rating and price target include: (1) weaker-than-expected end demand in major verticals, such as home appliances and EVs; (2) an unexpected rebound in copper prices, putting pressure on our margin assumptions; and (3) unexpected trade policy changes.

Hongfa Technology - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	14,102	17,202	22,509	26,028	29,701	Cash flow from operating activities	2,235	2,969	1,363	3,517	4,204
COGS	(8,996)	(11,299)	(14,942)	(17,200)	(19,537)	o/w Depreciation & amortization	980	1,050	1,081	1,201	1,313
Gross profit	5,106	5,904	7,567	8,829	10,163	o/w Changes in working capital	(1,038)	(609)	(2,571)	(1,273)	(1,298)
SG&A	(2,062)	(2,416)	(3,071)	(3,525)	(3,993)	Cash flow from investing activities	(2,210)	(610)	(1,617)	(1,561)	(1,751)
Adj. EBITDA	3,495	3,823	4,484	5,315	6,089	o/w Capital expenditure	(1,158)	(1,183)	(1,499)	(1,444)	(1,634)
D&A	(980)	(1,050)	(1,081)	(1,201)	(1,313)	as % of sales	8.2%	6.9%	6.7%	5.5%	5.5%
Adj. EBIT	2,515	2,773	3,403	4,114	4,776	Cash flow from financing activities	111	(1,951)	(451)	(849)	(974)
Net Interest	(72)	(69)	(3)	11	39	o/w Dividends paid	(695)	(867)	(655)	(824)	(962)
Adj. PBT	2,445	2,689	3,279	4,125	4,814	o/w Shares issued/(repurchased)	20	0	0	0	0
Tax	(282)	(350)	(426)	(536)	(626)	o/w Net debt issued/(repaid)	805	(1,094)	204	(25)	(12)
Minority Interest	(532)	(581)	(709)	(892)	(1,041)	Net change in cash	122	398	(705)	1,107	1,479
Adj. Net Income	1,631	1,758	2,144	2,696	3,147	Adj. Free cash flow to firm	1,141	1,848	(91)	2,106	2,579
Reported EPS	1.11	1.14	1.39	1.74	2.03	y/y Growth	(33.8%)	61.9%	(104.9%)	(2416.0%)	22.5%
Adj. EPS	1.11	1.14	1.39	1.74	2.03						
DPS	0.37	0.35	0.42	0.53	0.62						
Payout ratio	32.9%	30.6%	30.6%	30.6%	30.6%						
Shares outstanding	1,469	1,548	1,548	1,548	1,548						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,954	3,624	2,919	4,026	5,505	Gross margin	36.2%	34.3%	33.6%	33.9%	34.2%
Accounts receivable	4,920	6,277	8,779	10,021	11,286	EBITDA margin	24.8%	22.2%	19.9%	20.4%	20.5%
Inventories	3,487	4,278	5,977	6,880	7,815	EBIT margin	17.8%	16.1%	15.1%	15.8%	16.1%
Other current assets	519	800	880	933	989	Net profit margin	11.6%	10.2%	9.5%	10.4%	10.6%
Current assets	12,881	14,979	18,555	21,860	25,595	ROE	18.3%	15.9%	16.0%	17.9%	18.4%
PP&E	5,254	5,533	5,883	6,045	6,265	ROA	8.5%	8.0%	8.4%	9.2%	9.5%
LT investments	-	-	-	-	-	ROCE	18.1%	18.0%	20.7%	22.2%	23.0%
Other non current assets	2,530	2,853	3,058	3,275	3,513	SG&A/Sales	14.6%	14.0%	13.6%	13.5%	13.4%
Total assets	20,664	23,364	27,495	31,181	35,373	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	1,245	676	840	820	810	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	2,320	4,096	5,678	6,536	7,424	Sales/Assets (x)	0.7	0.8	0.9	0.9	0.9
Other short term liabilities	1,168	1,434	1,562	1,630	1,700	Assets/Equity (x)	2.2	2.0	1.9	1.9	1.9
Current liabilities	4,732	6,207	8,079	8,986	9,934	Interest cover (x)	48.7	55.4	1,304.7	NM	NM
Long-term debt	2,565	169	210	205	202	Operating leverage	106.4%	46.6%	73.7%	133.6%	114.1%
Other long term liabilities	825	978	998	1,018	1,037	Tax rate	11.5%	13.0%	13.0%	13.0%	13.0%
Total liabilities	8,122	7,354	9,287	10,208	11,174	Revenue y/y Growth	9.1%	22.0%	30.8%	15.6%	14.1%
Shareholders' equity	9,504	12,631	14,119	15,992	18,177	EBITDA y/y Growth	9.1%	9.4%	17.3%	18.5%	14.6%
Minority interests	3,038	3,380	4,089	4,981	6,023	EPS y/y Growth	(16.9%)	2.3%	22.0%	25.8%	16.7%
Total liabilities & equity	20,664	23,364	27,495	31,181	35,373						
BVPS	6.47	8.16	9.12	10.33	11.75						
y/y Growth	(19.1%)	26.2%	11.8%	13.3%	13.7%						
Net debt/(cash)	(145)	(2,779)	(1,870)	(3,001)	(4,493)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	31.2	30.5	25.0	19.9	17.0
						P/BV (x)	5.4	4.2	3.8	3.4	3.0
						EV/EBITDA (x)	16.5	14.4	12.7	10.7	9.2
						Dividend Yield	1.1%	1.0%	1.2%	1.5%	1.8%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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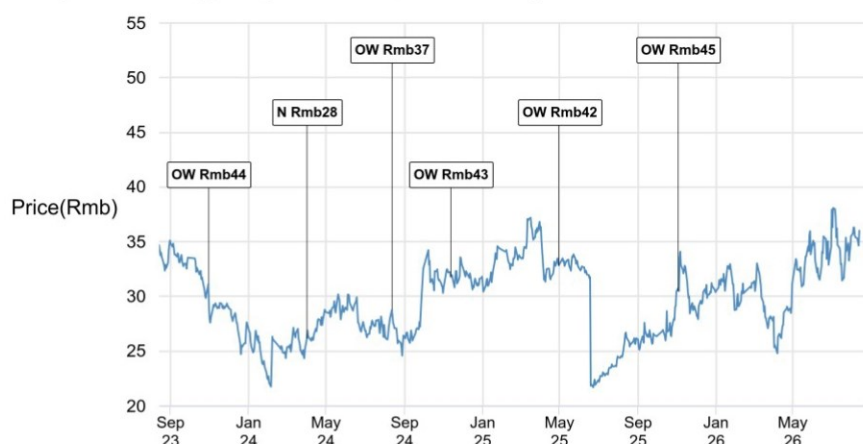
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Hongfa Technology - A (600885.SS, 600885 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
31-Oct-23	OW	31.10	44
02-Apr-24	N	26.15	28
13-Aug-24	OW	28.75	37
13-Nov-24	OW	31.80	43
01-May-25	OW	32.84	42
03-Nov-25	OW	30.47	45

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 28, 2021. All share prices are as of market close on the previous business day.

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